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Case Name: Estate of Enrique J. Penades

Case No.: 23PR196296

INTRODUCTION

On December 22, 2023, Elizabeth T. Penades (“Elizabeth”¹) filed a petition (the “Petition”) to probate the estate of her brother Enrique J. Penades (“Decedent” or “Henry”), who passed away on November 11, 2023. Elizabeth attached to this petition to probate a “Holographic Will and Testament” (the “Will”). On September 11, 2024, Lisa Penades (“Petitioner” or “Lisa”), Henry’s surviving spouse, filed a petition to revoke the Will (the “Will Contest”) on the grounds of undue influence, duress, and mistake. On December 23, 2024, Elizabeth and her sister Caroline Penades (collectively, “Respondents”) filed a motion for judgment on the pleadings as to the Will Contest on the grounds that it was time-barred and mistake. On January 27, 2025, the Court (Hon. Rosen) issued its order which denied the motion as to the timeliness argument and granted it, finding no mistake, with leave to amend.

On July 1, 2025, Lisa filed a second amended spousal property petition (“SASPP”), identifying certain assets of Decedent’s to which she contends she is entitled to half because those assets were purchased with or contained community property. Respondents filed a demurrer to Petitioner’s SASPP on the grounds that it is time-barred and fails to state facts sufficient to constitute a cause of action. On January 9, 2026, this Court (Hon. Rosen) overruled the demurrer.

On February 2, 2026, Lisa filed a request for dismissal of her third amended spousal property petition, without prejudice. On February 17, 2026, Lisa filed a petition to determine entitlement to distribution and confirm surviving spouse’s community property interest in the assets of the estate. On April 23, 2026, Respondents filed a demurrer on the grounds that the Petition fails to state facts sufficient to state cause of action and motion to strike portions of the Petition. Petitioner opposes the motions and Respondent filed replies.

DISCUSSION

I. Requests for Judicial Notice

a. Respondents’ Request

Respondents request judicial notice of the February 17, 2026 petition currently at issue. The request is denied as unnecessary. (See *Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091, fn. 1 [“Judicial notice is unnecessary because, in our review of the demurrer ruling, we accept the allegations in the complaint and the facts in the exhibit as true”].) The request for judicial notice of the verified Will Contest and Petition to Revoke Probate of Purported Will (Exhibit 2) to support a sham argument is denied as the petition has since been dismissed. Respondents request judicial notice of three prior versions of Petitioner’s Spousal Property Petition (Exhibits 3-5). The request is denied as unnecessary as the prior versions of the petition are no longer

¹ The court refers to several individuals by their first name for clarity as each party in the dispute has the same last name. No disrespect is intended.

operative. The request for judicial notice of the Third Amended Spousal Property Petition is granted as to its existence. (See *Stepan v. Garcia* (1974) 43 Cal.App.3d 497, 500 [the court may take judicial notice of its own file].) The request for judicial notice of the Court's prior order (Exhibit 7) is denied as unnecessary as Respondents merely cite the order in the background to explain the Court sustained the demurrer. (*Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [declining to take judicial notice of materials not "necessary, helpful, or relevant"].)

b. Petitioner's Request

Petitioner's request for judicial notice of her Second Amended Spousal Property Petition (Exhibit A), Opposition to Demurrer to SASPP (Exhibit B), and Order on Demurrer from September 25, 2025 (Exhibit C) is denied.

II. Legal Standard on Demurrer

As relevant to the instant case, "[t]he party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds: (e) The pleading does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e).) A demurrer may be utilized by "[t]he party against whom a complaint [] has been filed" to object to the legal sufficiency of the pleading as a whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The court in ruling on a demurrer treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on a demurrer, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 743, 751.) Evidentiary facts found in exhibits attached to a complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

III. Merits of the Demurrer

Respondents demur on the ground of failure to state a claim under Family Code section 1101 for a breach of fiduciary duty that results in impairment of the claimant spouse's present undivided one-half interest in the community estate.

A. Family Code section 1101

Petitioner alleges that Decedent repeatedly breached his spousal fiduciary duty to her under Family Code sections 721 and 1101 by taking title to all community property acquired by the parties during marriage in his individual name, thus claiming sole ownership of such property. Spouses have fiduciary duties to each other with respect to the management and control of community property. (See Family Code, §§ 721, 1100, 1101.)

Family Code section 1101, subdivision (a) states that "[a] spouse has a claim against the other spouse for any breach of the fiduciary duty that results in impairment to the claimant

spouse's present undivided one-half interest in the community estate, including, but not limited to, a single transaction or a pattern or series of transactions, which transaction or transactions have caused or will cause a detrimental impact to the claimant spouse's undivided one-half interest in the community estate."

Respondents argue that Petitioner's conclusory assertion that Decedent breached his spousal fiduciary duty by holding title to community property assets in his individual name should be disregarded. (Demurrer, p. 4:21-23.) Respondents set forth a sham pleading argument that Petitioner now omits her own verified allegations that she copied Decedent's will and that they never discussed altering title, ownership, or transfer-on-death arrangements. (*Id.* at p. 5:10-14, citing RJN, Ex. 2.) Further, Respondents cite Family Code section 1100, subdivision (a) which gives each spouse the right to manage and control community personal property. (*Id.* at p. 5:14-15.) They conclude that Decedent did not breach a fiduciary duty because Petitioner knew and approved of the assets being titled in Decedent's name alone. (*Id.* at p. 5:15-17.)

In opposition, Petitioner argues that the language of section 1101 that a spouse has a claim for "'any breach of the fiduciary duty that results in **impairment** to the claimant spouse's present undivided one-half interest in the community estate, *including, but not limited to, a single transaction or a pattern or series of transactions*'" confirms that impairment of Petitioner's community property interest may occur through means other than a formal transaction. (Opposition, ¶¶ 16, 17 [emphasis in opposition].) Petitioner asserts she need only allege an impairment, not a discrete transfer. (*Id.* at ¶ 17.) Petitioner refers to paragraphs 21 and 35 of the Petition where she alleges that Decedent repeatedly placed community earnings and assets purchased with community funds into accounts held in his individual name, depriving her of her undivided, one-half interest in those assets. (Opposition, ¶ 18, citing Petition, ¶¶ 21, 35.)

In this case, the Petition alleges that Decedent repeatedly breached his spousal fiduciary duty to Lisa by taking title to all community property acquired during their marriage in his own name. (Petition, ¶ 21.) Additionally, it alleges that Items 1-4 and 7-10 on page 3 of the petition were acquired by community funds during the marriage and Decedent claimed sole ownership of the accounts containing his earnings during the marriage, depriving Petitioner of her interest. (*Id.* at ¶ 35.)

The fiduciary duty owed by one spouse to the other includes "'the obligation to make full disclosure to the other spouse of all material facts and information regarding the existence, characterization, and valuation of all assets in which the community has or may have an interest'" and requires following the general rules governing fiduciary relationships specified in Family Code section 721. (*In re Marriage of Prentis-Margulis & Margulis* (2011) 198 Cal.App.4th 1252, 1270.) While the opposition indicates that Lisa was left without recognition of her undivided one-half interest (opposition, ¶ 21), the Petition itself is devoid of allegations that Petitioner was unaware of the assets that were being placed in Decedent's individual accounts. There are no allegations that Decedent did not make full disclosures regarding the existence, characterization, and valuation of all the community property assets. In other words, there are insufficient allegations of the *breach of the fiduciary duty* that resulted in Lisa's impairment to her interest in the community estate.

In opposition, Petitioner additionally argues that in transactions between spouses, if an “interpersonal transaction results in one spouse obtaining an advantage over the other, a rebuttable presumption of undue influence arises and the transaction must be set aside.” (Opposition, ¶ 22, citing *In re Marriage of Delaney* (2003) 111 Cal.App.4th 991, 996; *In re Marriage of Mathews* (2005) 133 Cal.App.4th 624, 628–629 (*Mathews*); *In re Marriage of Haines* (1995) 33 Cal.App.4th 277, 293–294.) In each of the cases cited by Petitioner, the rebuttable presumption only arose where an interspousal transaction occurred. (See *Mathews*, *supra*, 133 Cal.App.4th at p. 629 [“The prerequisite elements for the statutory presumption under section 721 to apply are: (1) there exists an interspousal transaction; and (2) one spouse has obtained an advantage over the other.”].) While the Petition contains references to “interspousal transactions,” no such transactions are alleged. (See Petition, ¶¶ 32, 35 [Decedent claimed sole ownership over accounts containing his earnings during the marriage].) As such, Petitioner does not sufficiently state a claim under Family Code section 1101.

Based on the foregoing, the demurrer is SUSTAINED with 10 days leave to amend.

IV. Legal Standard on Motion to Strike

A court may strike out any irrelevant, false, or improper matter asserted in a pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a).) The grounds for a motion to strike must appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) In ruling on a motion to strike, a court reads the complaint as a whole, all parts in their context, and assumes the truth of all well-pleaded allegations. (*Clauson v. Superior Ct.* (1998) 67 Cal.App.4th 1253, 1255.) Motions to strike are disfavored and courts considering such motions must presume the allegations contained therein are true and must consider those allegations in context. (*Ibid.*)

V. Merits of Motion to Strike

Respondents seek to strike 14 items from the Petition. Based on the Court’s above ruling, the motion to strike the following is MOOT, as they pertain to the breach of fiduciary duty claim:

- 1) 9:13-25 [Portion of Paragraph 35];
- 2) 10:2-5 [Portion of Paragraph 36];
- 3) 10:12 [Portion of Paragraph 38];
- 4) 12:8-13 [Prayer for Relief, Paragraph 4]; and
- 5) 12:20 [Prayer for Relief, Paragraph 7].

Respondents rely on Evidence Code section 662 to argue that in probate proceedings and at death, the form of title presumption prevails over the Family Code section 760 presumption that all property acquired during marriage is community property. (Motion to Strike, p. 5:22-25.) They contend that the financial accounts and BMW were titled in Decedent’s name on his death and so references to these should be stricken. They further assert that that Petitioner cannot overcome the form of title presumption because: 1) the Court has already determined that alleging Decedent titled community assets in his name alone was insufficient to establish that

Family Code section 721 applies; and 2) there is no agreement or understanding alleged between Petitioner and Decedent regarding the title of the property to overcome the presumption of Evidence Code section 662.

Section 662 states: “The owner of the legal title to property is presumed to be the owner of the full beneficial title. This presumption may be rebutted only by clear and convincing proof.” (Evid. Code, § 662.)

In opposition, Petitioner asserts that Respondents mischaracterize the Court’s prior order regarding Family Code section 721 because section 721 had only been raised in her opposition brief. The Court has now addressed section 721, explained in further detail above, and found it does not apply to the Petition as currently alleged. Thus, this argument is unavailing. Additionally, Petitioner asserts that she is not alleging that there was an agreement between the parties and therefore, Evidence Code section 662 does not apply. Instead, she contends she invokes the spousal fiduciary duty presumption under Family Code section 721 and thus, there is no presumption to overcome. This argument is unhelpful to Petitioner for the same reason.

Finally, Petitioner contends that even if the section 721 allegations are insufficient, the motion to strike is overbroad and improper because her claim to the financial accounts and the BMW is supported by other independent legal theories, including: 1) comingling and tracing theory; and 2) intestate share claim. (Opposition, ¶ 24.) In reply, Respondent’s argue that any tracing claim Petitioner makes is insufficient to overcome the form of title presumption. However, this argument was raised for the first time in reply and the motion to strike does not address additional claims set forth by Petitioner. (See *Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.) Given that the Court has not addressed tracing or intestate share claims, and neither the motion to strike nor demurrer address these claims, it declines to strike the remaining Items in the motion to strike. (See *Triodyne, Inc. v. Superior Court of Los Angeles County* (1966) 240 Cal.App.2d 536, 542 [“But a motion to strike cannot be made to serve the purpose of a special demurrer. Where a motion to strike is so broad as to include relevant matters, the motion should be denied in its entirety.”].)

The motion to strike the following is DENIED:

- 1) 1:25-27 [Portion of Paragraph 1]
- 2) 5:15-20 [Paragraph 16]
- 3) 5:23-24 [Portion of Paragraph 17];
- 4) 6:2-5 [Paragraph 18];
- 5) 7:8-10 [Portion of Paragraph 23];
- 6) 7:16-17 [Portion of Paragraph 25];
- 7) 12:2-4 [Portion of Prayer for Relief, Paragraph 3]; and
- 8) 12:13-16 [Prayer for Relief, Paragraph 5].

CONCLUSION

The demurrer is SUSTAINED WITH 10 DAYS LEAVE TO AMEND on the ground of failure to state a claim because Petitioner has not pled facts sufficiently to state a claim for breach of fiduciary duty. The motion to strike is DENIED, in part, and MOOT, in part.